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FRIDAY, FEBRUARY 7, 2025

Bank cuts interest rate but forecasts flatlining growth with rising inflation – as Labour takes us back to 70s nightmare

# NEW ERA OF STAGFLATION

## thanks to Reeves's ruinous Budget

By **John-Paul Ford Rojas**  
Deputy Business Editor

**BRITAIN faces a new era of stagflation in the wake of Rachel Reeves's disastrous Budget, Bank of England forecasts suggested yesterday.**

A hundred days on from the Budget, the Bank slashed its prediction for UK growth this year by half, to just 0.75 per cent.

And it warned that cost-of-living pressures are on the rise again, with inflation set to climb to 3.7 per cent this year as energy bills put more strain on household finances.

That dismal combination will add to fears of 'stagflation', when the economy stagnates even as inflation pressures intensify. It is a phenomenon that ravaged Britain in the 1970s on a much larger scale, when inflation topped 20 per cent while the economy shrank.

There was some relief for households yesterday as the Bank's rate-setters voted by a 7-2 majority to cut interest rates from 4.75 per cent to 4.5 per cent, the lowest level since June 2023.

Two officials wanted to go even further and cut rates by half a per cent in a bid to provide a quicker boost to the economy amid the

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of Montecito!**

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